ABDBB
CADCC
D

4.1 imperfect competition

1. Which of the following is more likely to occur when there are high barriers to entry in an industry?

(A) The firm(s) in the industry earn economic profits in the long run. ✓

(B) The industry will be characterized by diseconomies of scale.

(C) The firm(s) in the industry are price takers.

(D) The firm(s) in the industry will charge a price equal to average total cost.

(E) The firm(s) will charge a price on the inelastic portion of the demand curve.

2. Imperfectly competitive markets do not achieve allocative efficiency because profit maximization for each firm occurs when which of the following is true?

(A) Price equals average total cost.

(B) Price is greater than marginal cost. ✓

(C) Price equals marginal revenue.

(D) Price is less than marginal benefit.

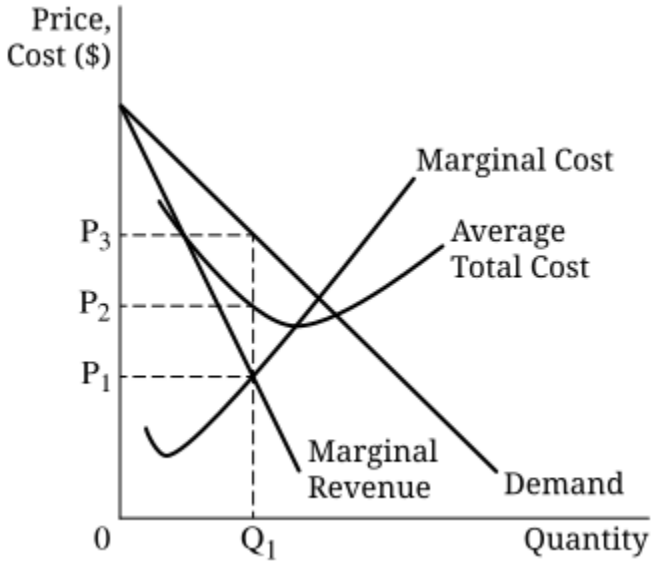
(E) Price is less than marginal revenue.

Answer B

Correct. Allocative efficiency requires that price equals marginal cost and profit maximization requires that marginal revenue equals marginal cost. Since price is greater than marginal revenue and therefore marginal cost at the profit-maximizing quantity in imperfectly competitive markets, such markets do not achieve allocative efficiency.

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3.



The graph shows the cost and revenue curves for a profit-maximizing firm. Which of the following is true about the firm?

(A) The firm operates in a perfectly competitive market, producing the allocatively efficient quantity and charging P_1.

(B) The firm is a monopolist, producing the allocatively efficient quantity and charging P_1.

(C) The firm is a natural monopoly, producing Q_1 and earning positive economic profit.

(D) The firm operates in an imperfectly competitive market, producing Q_1 and earning positive economic profit. ✓

(E) The firm operates in a monopolistically competitive market, producing Q_1 and earning negative economic profit.

Answer D

Correct. The firm operates in an imperfectly competitive market, as evidenced by the downward-sloping demand curve it faces. The firm will maximize profit by producing where marginal revenue equals marginal cost (at Q_1) and charge price P_3. The firm will earn positive economic profit of $(P_3\text{-}P_2)\times Q_1$, since $P_3 > P_2$ (where P_2 is ATC at Q_1).

4. Which of the following explains why imperfectly competitive markets are inefficient?

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(A) Total costs increase as output increases.

(B) Price is greater than marginal cost. ✓

(C) Firms do not earn zero economic profit.

(D) Firms incur high start-up costs when setting up their factories.

(E) Firms use relatively more capital than labor to produce goods or services.

Answer B

Correct. Imperfectly competitive markets face a downward-sloping demand curve. Firms operating at the profit-maximizing output charge a price that is greater than marginal cost, unlike efficient firms that operate at the point where the marginal cost equals price. Any price other than where marginal cost equals price prevents mutually beneficial transactions from taking place and results in a reduction in total economic surplus relative to the competitive equilibrium.

5. One difference between monopolistic competition and oligopoly is that firms in monopolistic competition are assumed to

(A) cooperate in setting price and output

(B) act independently in setting price and output ✓

(C) be interdependent

(D) face high barriers to entry

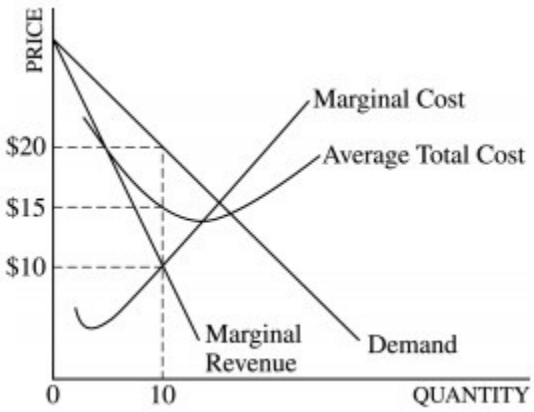
(E) be price takers

Answer B

Correct. Firms in monopolistic competition act independently in setting price and output while firms in oligopoly are interdependent in setting price and output.

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The following questions refer to the graph below.



6. Which of the following is most likely to occur if the firm increases production beyond 10 units?

(A) Consumers would be willing to purchase more than 10 units at the price of $20 per unit.

(B) The firm would definitely experience a loss.

(C) The firm would have to lower its price to sell more than 10 units. ✓

(D) The firm's average cost of production would initially increase.

(E) The firm's profits would increase.

7. The condition for allocative efficiency is violated when

(A) firms are price makers(price searchers) ✓

(B) short-run profits exist in a competitive industry

(C) price equals average total cost

(D) the market demand curve is inelastic in a competitive industry

(E) the market demand curve is elastic in a competitive industry

8. Which of the following statements relating to a firm in an imperfectly competitive market and a firm in a perfectly competitive market is true?

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(A) An imperfectly competitive firm does not experience diminishing returns, while a perfectly competitive firm experiences diminishing returns.

(B) An imperfectly competitive firm will always earn economic profits, while a perfectly competitive firm always earns zero economic profits.

(C) An imperfectly competitive firm and a perfectly competitive firm have a marginal revenue that equals the product price.

(D) When an imperfectly competitive firm raises the price, it will likely continue to sell some units of output, but when a perfectly competitive firm raises the price, it will sell no output. ✓

(E) Both imperfectly competitive and perfectly competitive firms face no barriers to entry.

Answer D

Correct. The imperfectly competitive firm faces a downward-sloping demand curve; when raising price, the firm will sell less output but continue to sell some output. The perfectly competitive firm is a price taker and will sell no output if it charges a price higher than the market price.

9. Which of the following statements relating to a firm in an imperfectly competitive market and a firm in a perfectly competitive market is true?

(A) Firms in both types of markets will likely advertise the merits of their products to increase sales.

(B) Firms in both types of markets will increase price to increase total revenues when their demand is inelastic.

(C) An imperfectly competitive firm must lower its price to increase sales, while a perfectly competitive firm can increase sales by increasing output at the current price. ✓

(D) Barriers to entry give both imperfectly competitive and perfectly competitive firms market power to raise price.

(E) As their product becomes different from their competitors' product, both an imperfectly competitive firm and a perfectly competitive firm will face less elastic consumer demand.

Answer C

Correct. The imperfectly competitive firm is a price maker, and it faces a downward-sloping demand curve. The perfectly competitive firm is a price taker, and it faces a perfectly elastic (horizontal) demand curve. Thus, the imperfectly competitive firm must lower price to increase sales; the perfectly competitive firm can increase its sales at the given market price by increasing output.

10. If Zeta, a single producer, had exclusive control of a key resource needed to produce good Z, a likely result would be which of the following?

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(A) Good Z would be produced in a perfectly competitive market.
(B) Slight differences in output would lead to good Z being in a monopolistically competitive market.
(C) There would be a barrier to entry, and Zeta would have a monopoly on good Z. ✓
(D) Only a few firms would produce good Z, so there would be an oligopoly.
(E) Zeta must have decreasing returns to scale and operate as a natural monopoly in producing good Z.

Answer C

Correct. For a monopoly to persist, there needs to be a barrier to entry. Exclusive control of a vital resource would serve as such a barrier to entry and prevent new firms from entering the market to produce good Z.

11. Which of the following is true in imperfectly competitive markets?

(A) Firms produce standardized or identical products.
(B) Firms enjoy economies of scale in production.
(C) Firms produce output at constant marginal cost.
(D) Firms must lower their product prices to sell additional units. ✓
(E) New firms can easily enter or exit the market.

Answer D

Correct. Firms in an imperfectly competitive market face a downward-sloping demand curve. Therefore, to sell a larger quantity, firms must reduce their prices on all the units they sell.